BY ORDER OF THE
SECRETARY OF THE AIR FORCE

AIR FORCE INSTRUCTION 65-607

26 JUNE 2025

Financial Management

AIR FORCE SPECIALIZED/DEDICATED TRAINING PROGRAM

COMPLIANCE WITH THIS PUBLICATION IS MANDATORY

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This instruction further implements Department of the Air Force Policy Directive (DAFPD) 65-6, *Budget*, by providing general budget policy and procedures on security cooperation activities ensuring regulatory and statutory compliance and standardization throughout the Air Force. The instruction applies to all civilian employees and uniformed members of the Regular Air Force, Air Force Reserve and Air National Guard. This instruction does not apply to the United States Space Force. It specifically addresses the pricing of the Air Force Specialized/Dedicated Training Programs for the exclusive use of an international student or international program in support of Title 22 United States Code (USC), the *Arms Export Control Act* (AECA), and the *Foreign Assistance Act* (FAA) (Public Law 87-195), as amended and codified as Title 22 United States Code 2151, *Congressional findings and declaration of policy*. Ensure all records generated as a result of processes prescribed in this publication adhere to Air Force Instruction 33-322, *Records Management and Information Governance Program*, and are disposed in accordance with the Air Force Records Disposition Schedule, which is located in the Air Force Records Information Management System. Refer recommended changes and questions about this publication to Air Force Security Assistance Training/Financial Management (AFSAT/FM) using the Department of the Air Force (DAF) Form 847, *Recommendation for Change of Publication*; route DAF Forms 847 from the field through appropriate functional chain of command. This publication may be supplemented at any level but all supplements must be routed to AFSAT/FM for coordination prior to certification and approval. **(T-1)**. The authorities to waive wing/unit level requirements in this publication are identified with a Tier ("T-0, T-1, T-2, T-3") number following the compliance statement. See Department of the Air Force Manual (DAFMAN) 90-161, *Publications Processes and Procedures*, for a description of the authorities associated with the Tier numbers. Submit

requests for waivers through the chain of command to the appropriate Tier waiver approval authority, or alternately, to the requestor's commander for non-tiered compliance items.

SUMMARY OF CHANGES

This document has been reviewed and updated to comply with publication standards and formatting. References to publications such as AFIs and Department of Defense (DoD) instructions (DoDI) are updated.

Chapter 1

ROLES AND RESPONSIBILITIES

1.1. Overview. A specialized/dedicated training program is a training program solely developed for the purpose of providing training of international students from one or more countries. A specialized/dedicated training program may be developed in coordination with the U.S. Air Force or developed exclusively by and for an international student or international program with all cost to be reimbursed by the foreign nation(s) to the Air Force. Airmen, commanders and directors are responsible for pricing the full cost of training to ensure the Air Force uniformly and consistently applies pricing methodologies in accordance with DoD FMR, Volume 15, Chapter 7, *Pricing.*

1.2. Roles and Responsibilities. The following roles and responsibilities are established:

1.2.1. The Deputy Assistant Secretary, Budget (SAF/FMB), Policy and Fiscal Control (FMBF):

1.2.1.1. Functions as the lead on Foreign Military Sales (FMS) budget policy.

1.2.1.2. Engages with external agencies (e.g. Office of the Secretary of Defense (Comptroller), Defense Security Cooperation Agency, and Defense Finance Accounting Service) as the Air Force representative on FMS and Specialized/Dedicated Training budget policy.

1.2.1.3. Coordinates changes to the DoD Financial Management Regulation, Defense Security Cooperation Agency Security Assistance Management Manual and other Department of Defense (DoD) policy or guidance with Air Force-wide implications to the financial management community.

1.2.1.4. Conducts final review and approval of AFSAT financial guidance in accordance with this publication.

1.2.1.5. Handles Secretary of the Air Force (SAF) level staffing prior to official implementation.

1.2.2. Air Force Security Assistance Training (AFSAT) Squadron division chief of Financial Management serves as OPR for all financial issues and financial policy concerning the Air Force Specialized/Dedicated Training Program and shall:

1.2.2.1. Establish and update FMS policy and procedures for implementation of specialized/dedicated training programs. **(T-1)**. Ensure consistency and adherence to statutes, regulations, international agreements, objectives, instructions, directives, and other authorities. **(T-1)**.

1.2.2.2. Provide guidance and instruction to subordinate organizations for resolving financial issues. **(T-1)**.

1.2.2.3. Provide guidance to subordinate organizations on current cost and planning factors in Air Force Instruction (AFI) 65-503, *United States Air Force Cost and Planning Factors*. **(T-1)**.

1.2.2.4. Review and approve financial documents for evaluating cost allocations and methodology used to price specialized/dedicated training programs for AFSAT implemented cases. **(T-1)**.

1.2.2.5. Conduct periodic site visits to subordinate organizations and perform financial management reviews on specialized/dedicated training programs when needed. **(T-1)**.

1.2.2.6. Advise, assist, and train MAJCOM/ANG/AFR unit comptroller personnel regarding specialized/dedicated training programs. **(T-1)**.

1.2.3. MAJCOM/ANG/AFR Financial Managers shall:

1.2.3.1. Ensure any supplemental policy or procedures to price, budget, and execute specialized/dedicated training program aligns with instructions from higher authority and with the advice of appropriate staff. **(T-2)**.

1.2.3.2. Assist subordinate organizations with reporting financial data, developing cost estimates, and other financial management duties needed to support Pre-Letter of Request and case development activities for specialized/dedicated training programs. **(T-2)**.

1.2.3.3. Request evaluation and approval from AFSAT, prior to using any unique cost factors, cost estimating relationships, procedures or methods related to the specialized/dedicated training program. **(T-2)**.

1.2.3.4. Furnish a copy of command and field financial management guidelines for dedicated training programs to AFSAT for evaluation and approval prior to implementation. **(T-2)**.

1.2.3.5. Conduct a review to ensure all subordinate organizations will use actual costs and prepare reimbursement documents within 30 calendar days after the month in which performance occurred. **(T-0)**. See DoD 7000.14-R, *DoD Financial Management Regulation,* Volume 11A.

Chapter 2

PRICING

2.1. Pricing Principles Guidance for Specialized/Dedicated Training Programs. Defense Security Cooperation Agency (DSCA) 5105.38-M, *Security Assistance Management Manual,* provides DoD-wide guidance for personnel in the management or implementation of DoD Security Assistance and Security Cooperation programs, over which DSCA has responsibility. This Manual is mandatory for use by all DAF organizations.

2.1.1. *DoD 7000.14-R*, *Volume 15*, provides guidance on pricing personnel, inflation factors, start-up costs, direct costs, indirect costs and other billable costs for specialized/dedicated training programs. The full cost principles for pricing tuition-based training and associated pricing exemptions are applicable to the specialized/dedicated training programs.

2.1.2. When pricing specialized/dedicated training programs, full cost pricing principles are to be applied in accordance with *DoD 7000.14-R*. Full costs includes all direct costs and a proportional share of indirect costs to the United States Government.

2.1.3. The estimated costs of a Letter of Offer and Acceptance or annual budget for a specialized/dedicated training program is based on historical/projected data or cost factors, whereas, the bill to a FMS purchaser/partner is actual expenses incurred for defense articles, defense services, and training provided.

2.1.4. Full costs are identified and accounted for only once as a direct, indirect, or other billable costs to ensure the FMS purchaser/partner is not charged multiple times for the same defense articles, defense services and training.

2.1.5. When possible, establish a separate cost center to separate specialized/dedicated training program costs from the host base expenses (e.g., squadron's direct operating expenses for ground fuel, parts, supplies, equipment repairs and other services).

2.1.6. The pro rata share of indirect base operating support cost should be provided as a ratio of the total base population to the number of FMS and dedicated personnel. The total base population includes military personnel, appropriated fund civilians (including Reserve technicians), non-appropriated fund civilians, contractors and tenant activities. Do not include geographically separated units or military retirees.

2.2. Additional Guidance on Pricing Specialized/Dedicated Training Programs. This section provides guidance and clarification on a number of areas that are prone to confusion.

2.2.1. Beddown (Startup costs). The FMS purchaser/partner is responsible for all costs, to include expenses incurred by the United States Air Force activities assisting in their beddown. For purposes of this instruction, beddown is establishing a unit, mission, activity, or personnel on Air Force real property for longer than one year. This applies to activities of all military branches, other DoD, non-DoD federal, state and local governmental, and/or private agencies requesting the use of Department of the Air Force real property. Additional costs charged to the FMS purchaser/partner are below:

2.2.2. Environmental Impact Analysis (EIA), Environmental Assessment (EA) or Environmental Impact Statement (EIS). In accordance with 32 Code of Federal Regulations (CFR) Part 989.7 (c), *Requests from Non-Air Force agencies or entities*, the Air Force may

require the requester to prepare, at the requester's expense, an analysis of environmental impacts, or the requester may be required to pay for an EA or EIS to be prepared by a contractor selected and administered by the Air Force.

2.2.3. Site Activation Task Force (SATAF). During the SATAF process, one-time cost areas should be identified, such as communications, to include expansion of communication capacity, computers, network connections, furniture, and additional support equipment.

2.2.4. Personnel Costs. FMS purchaser/partner should be billed for actual services performed by personnel supporting specialized/dedicated training program. The FMS purchaser/partner should not be billed for time spent fulfilling United States Air Force requirements such as professional military education, deployment, contingency taskings, or any other non-unit related duty.

2.2.5. Environmental Clean-up/Compliance. The Department of the Air Force receives appropriated funding to clean up past violations, pay for annual fees, etc. The FMS purchaser/partner should not be billed for these past clean-up efforts. Reference DAFI 32-7001, *Environmental Management*. The FMS purchaser/partner is responsible to pay for any environmental support costs or violations incurred by their base as a result of their specialized/dedicated training program.

2.2.6. Simulators. Charges for simulator expenses vary. Reference *DoD 7000.14-R, Volume 15*, to price simulator costs when the FMS purchaser/partner is using Air Force simulators and personnel support. Some FMS purchaser/partner owned simulators include FMS purchaser/partner contracts that cover operation and maintenance, supplies, and repair of the simulators. FMS purchaser/partner are only billed for the indirect cost or expenses of maintaining the existing building in which the simulator is kept. Example of indirect costs: utilities, supplies and maintenance (custodial, refuse pickup, etc.).

2.2.7. Housing and Lodging Services. FMS purchaser/partner is responsible for paying all student support costs outside the FMS process while the international students are in training unless DSCA approves a waiver.

2.2.8. Transportation/Temporary Duty. FMS purchaser/partner is responsible for all costs associated with their activities related to both commercial and government-owned transportation and temporary duty travel costs.

2.2.9. Field Studies Program. This program is optional for the international students and is coordinated between AFSAT/Mission Support Division and the base International Military Student Officer (IMSO).

David B. Marzo
Deputy Assistant Secretary (Cost and Economics)
Performing Duties as Assistant Secretary of the Air Force (Financial Management and Comptroller)

Attachment 1

GLOSSARY OF REFERENCES AND SUPPORTING INFORMATION

References

22 USC § 2151, *Congressional findings and declaration of policy*

22 USC § 2761, *Sales from stocks*

32 CFR, Part 989.7 (c), *Requests from Non-Air Force Agencies or Entities*

DoD 7000.14-R, Volume 11A, *Reimbursable Operations Policy,* current edition

DoD 7000.14-R, Volume 15, *Security Cooperation Policy*, current edition

DSCA 5105.38-M, *Security Assistance Management Manual*, current edition

DAFMAN 90-161, *Publishing Processes and Procedures,* 18 Oct 2023

DAFI 32-7001, *Environmental Management*, 8 January 2025

DAFPD 65-6, *Budget*, 27 September 2023

AFI 33-322*, Records Management and Information Governance Program,* 23 March 2020

AFI 65-503, *US Air Force Cost and Planning Factors*, 13 July 2018

Adopted Forms

DAF Form 847, *Recommendation for Change of Publication*

Abbreviations and Acronyms

AECA—Arms Export Control Act

AF—Air Force

AFI—Air Force Instruction

AFMAN—Air Force Manual

AFPD—Air Force Policy Directive

AFR—Air Force Reserve

AFSAT—Air Force Security Assistance Training

ANG—Air National Guard

CFR—Code of Federal Regulations

DAF—Department of the Air Force

DAFMAN—Department of the Air Force Manual

DAFPD—Department of the Air Force Policy Directive

DoD—Department of Defense

DSCA—Defense Security Cooperation Agency

EA—Environmental Assessment

EIA—Environmental Impact Analysis

EIS—Environmental Impact Statement

FAA—Foreign Assistance Act

FMS—Foreign Military Sales

IMSO—International Military Student Officer

MAJCOM—Major Command

OPR—Office of Primary Responsibility

SAF—Secretary of the Air Force

SATAF—Site Activation Task Force

USC—United States Code

Office Symbols

AFSAT/FM—Air Force Security Assistance Training/Financial Management

SAF/FMB—Deputy Assistant Secretary for Budget

SAF/FMBF—Deputy Assistant Secretary for Budget, Policy and Fiscal Control

Terms

Beddown—For purposes of this instruction, beddown is establishing a unit, mission, activity, or personnel on Air Force real property for longer than one year.

Field Studies Program—The DoD program that affords an opportunity for the International Military Student (IMS) to become familiar with the United States; its social, cultural, and political institutions; and its people and their ways of life. The program further increases the IMSs' awareness of the U.S. commitment to basic principles of internationally recognized human rights.

Full cost—A practice where the price of a product is calculated by a firm on the basis of its direct **costs** per unit of output plus a markup to cover overhead **costs** and profits.

Geographically Separated Unit—A base that is physically separate from, yet not autonomous of its "parent" base. Geographically separated units are "owned" by their parent organization and are typically quite small.

Letter of Offer and Acceptance—The Letter of Offer and Acceptance (LOA) is the legal instrument used by the USG to sell defense articles, defense services including training, and design and construction services to a foreign country or international organization under authorities provided in the Arms Export Control Act (AECA). The LOA itemizes the defense and services offered and when implemented becomes an official tender by the USG.

Pre-Letter of Request—An internal government document used between departments for some types of transactions, or an agreement used in government-to-government deals.

Purchaser/Partner—Person or entity that is a recipient of a good or service provided by a seller under a purchase order or contract of sale.

Requestor—Formal, almost legalistic, term for someone who asks for something.

Specialized/Dedicated Training Program—A training program solely developed for the purpose of providing training of international students from one or more countries. A specialized/dedicated training program may be developed in coordination with the U.S. Air Force or developed exclusively by and for an international student or international program with all cost to be reimbursed by the foreign nation(s) to the Air Force. See *DoD 7000.14-R, Volume 15*, *Chapter 7,* for information on AF programs.